

**BEFORE THE
FEDERAL MARITIME COMMISSION
WASHINGTON, DC 20573**

DOCKET NO. 22-21

MSRF, INC. v. YANG MING MARINE TRANSPORT CORPORATION

**MSRF, INC.'S RESPONSE TO YANG MING MARINE TRANSPORT
CORPORATION'S MOTION TO COMPEL PRODUCTION OF DOCUMENTS**

Complainant, MSRF, INC., (hereinafter, "MSRF" or "Complainant"), by and through its undersigned attorneys, hereby files a response to Respondent's, YANG MING MARINE TRANSPORT CORPORATION'S, (hereinafter, "Yang Ming" or "Respondent"), Motion to Compel Document Production ("Yang Ming's Motion"), and requests that the Commission deny Yang Ming's Motion to Compel.

INTRODUCTION

Yang Ming's Motion to Compel Document Production should be denied because MSRF has responded and produced sufficient documents in response to Yang Ming's discovery requests, or has otherwise promised to provide supplemental production, particularly as to damages. Further, as referenced in Yang Ming's Motion, Yang Ming's Motion was brought due to the tight time constraints imposed by the current scheduling Order. MSRF and Yang Ming are amenable to working together to resolve the discovery disputes identified herein should the Presiding Officer find it appropriate to grant MSRF's forthcoming Motion for Modification of Scheduling Order to provide the parties time to confer and resolve the identified discovery disputes.

BACKGROUND

On December 21, 2022, MSRF produced responses to Yang Ming's voluminous discovery requests, which included 42 Requests to Admit, 45 Interrogatories, and 20 Requests to Produce. **Exhibit A**, Certificates of Service for MSRF's Answers to Yang Ming's Interrogatories, Answers to Requests to Admit, and Responses to Requests for Production. Because of the volume of Yang Ming's discovery requests, many of which included several subparts, many of MSRF's responses included a commitment to supplement the responses as MSRF would need to review thousands of documents to properly comply with Yang Ming's discovery requests.

On January 3, 2023, MSRF produced 5,777 documents in connection with its responses to Yang Ming's Requests for Production. This production included charts cross-referencing the Bates numbers of documents to Yang Ming's Requests for Production and Interrogatories. That same day, Yang Ming emailed MSRF a 201(k) letter outlining what it alleged are deficiencies in MSRF's responses to 61 of MSRF's responses. Exhibit B, Yang Ming's January 3, 201(k) Letter. As the Presiding Officer is aware, Yang Ming gave MSRF 48 hours to respond to the January 3, 2023 201(k) Letter before it filed its January 6, 2023 Motion to Compel Responses to Interrogatory and Requests for Admission¹. MSRF provided its supplemental responses to the 201(k) letter on January 27, 2023. See Attachment A to Yang Ming's Motion to Compel. Nonetheless, Yang Ming still filed the present Motion to Compel on January 30, 2023, requesting MSRF respond by February 1, 2023, citing the current discovery schedule. Counsel for Yang Ming cancelled the deposition of Rochi Mirasol scheduled for February 7. Thus, there is no urgency in MSRF

¹ Yang Ming has withdrawn their Motion to Compel Responses to Interrogatories and Requests for Admission as to RFA Nos. 3, 7, 9, 26, 29 (assuming MSRF supplements "soon"), 30, and 37, and Interrogatory Nos. 3, 6, 22-24, 30, 32, 39, 40, 44, and 45 (if MSRF supplements "soon").

responding to this Motion to Compel prior to the February 6, 2023, deadline set forth by FMC Rule 71.

ARGUMENT

Specific Requests for Documents

Yang Ming complains that MSRF has not provided a date by which MSRF will provide supplemental responses. To the extent that MSRF's January 3rd production and its response to Yang Ming's 201(k) letter do not address Yang Ming's concerns, MSRF will provide supplemental production to those requests by February 14, 2023. At that time, MSRF will provide a certificate of completeness.

As to Yang Ming's other enumerated issues with MSRF's responses and supplemental responses below, MSRF stands on its responses as supplemented for the following reasons.

1. **RFD 3**

- a. RFD 3 is overly broad because it asks for *all* bills of lading, invoices and other shipping documents that relate to *all* shipments MSRF made as an alternate transportation arrangement – there is no limitations as to what type of documents Yang Ming is requesting (they ask for all shipping documents). And there is no specific time frame for the request.
- b. Nevertheless, MSRF included information as to what documents are responsive to this request in our response to Yang Ming's 201(k) letter.

2. **RFD 4,9**

- a. Yang Ming seems to admit that they might have possession of the documents they requested for these RFDs but that "part of the evidentiary value is that they come from MSRF's files and so require no authentication." This is another example of

Yang Ming's voluminous and unreasonable requests. Yang Ming is intentionally attempting to delay the discovery process by asking for documents it may already have in its possession.

- b. MSRF also included information as to what documents are responsive to this request in the January 3rd production and MSRF's response to Yang Ming's 201(k) letter.
 - c. Yang Ming is also asking for MSRF's internal memos and communications relating to attempts to book cargo with Yang Ming. MSRF believes that the documents produced in its January 3rd production respond to this request.
3. RFD 10. MSRF claims damages in the amount of \$1,940,836. During the term of Service Contract 494721, MSRF shipped 135 containers that incurred freight charges in excess of the service contract rates. The damages claim is equal to the difference between the actual freight charges and the service contract rate. It also includes transload and chassis costs for those shipments where Yang Ming refused to book shipments to inland ports. MSRF thus had to transload the cargo from the containers to other transportation providers for shipment to the inland port.
4. RFD 11. These documents will be produced in MSRF's supplemental production.
5. RFD 12, 13-17. These requests ask MSRF to produce financial statements; tax returns; service contracts with other ocean common carriers and NVOCCs; Customs entry documents, bills of lading, credit agreements; account statements, etc. relating to all shipments of cargo for the past five years; and records of cargo volume for the past five years. MSRF objected to these requests as irrelevant to the dispute. Yang Ming claims that these requests are relevant as to MSRF's claims for reparations and its mitigation of

its damages. This claim does not satisfy our objection. Nevertheless, MSRF identified the documents that are responsive to these requests in our response to Yang Ming's 201(k) letter.

6. RFDs 19, 20

MSRF objected to these requests because it was unclear as to what the Yang Ming was seeking. In its motion to compel, Yang Ming did not explain the request, but simply stated that the terms are "well understood in the industry," and they are words written in "plain English." To the extent that MSRF understands the meaning of these terms, then we object on the basis of relevance.

CONCLUSION

WHEREFORE, MSRF respectfully requests that the Presiding Officer enter an Order denying Yang Ming's Motion to Compel Production of Documents along with all further relief deemed just and proper.

Respectfully submitted,

CLARK HILL PLC

February 6, 2023

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CERTIFICATE OF SERVICE

I certify that on February 6, 2023, a true and correct copy of the foregoing **MSRF, INC.'S RESPONSE TO YANG MING MARINE TRANSPORT CORPORATION'S MOTION TO COMPEL** was served by email on all counsel of record as follows:

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EXHIBIT A

CERTIFICATE OF SERVICE

I certify that on December 21, 2022, a true and correct copy of the foregoing **MSRF, INC.'S RESPONSES AND OBJECTIONS TO YANG MING MARINE TRANSPORT CORPORATION'S REQUESTS FOR ADMISSION** was served by email on all counsel of record as follows:

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Counsel for Complainant, MSRF, Inc.

CERTIFICATE OF SERVICE

I certify that on December 21, 2022, a true and correct copy of the foregoing
**MSRF, INC.'S RESPONSES AND OBJECTIONS TO YANG MING MARINE
TRANSPORT CORPORATION'S FIRST SET OF INTERROGATORIES AND
REQUESTS FOR DOCUMENTS** was served by email on all counsel of record as follows:

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EXHIBIT B

DEFICIENCIES IN MSRF'S DISCOVERY RESPONSES

I. Requests for Admission

As a general matter, we note that, in many cases, identified as relevant below, MSRF has claimed insufficient information to admit or deny, but has not stated what steps it took to identify relevant information. This is flatly contrary to the FMC's Rules of Practice & Procedure. See 46 C.F.R. 502.147(a)(4) (emphases added):

If a matter is not admitted, the answer must specifically deny it ***or state in detail why the answering party cannot truthfully admit or deny it***. A denial must fairly respond to the substance of the matter; and when good faith requires that a party qualify an answer or deny only a part of a matter, the answer must specify the part admitted and qualify or deny the rest. ***The answering party may assert lack of knowledge or information*** as a reason for failing to admit or deny ***only if the party states that it has made reasonable inquiry and that the information it knows or can readily obtain is insufficient to enable it to admit or deny***.

As a second general matter, MSRF has repeatedly refused to answer requests for admission on the ground that the request "calls for a legal conclusion to which no response is required." That is not a valid objection under the FMC's Rules; 46 C.F.R. 502.147(a)(1) states that a request for admission may address "the truth of any nonprivileged relevant matters relating to facts, ***the application of law to fact***, or ***opinions*** about either." See, e.g., Docket No. 21-17, *Ocean Network Express, Pte Ltd. and Ocean Network Express (North America), Inc. – Possible Violations of 46 U.S. C. § 41102(C)* (ALJ, May 4, 2022)(Order Granting Motion to Compel), 2022 FMC LEXIS 178 .

1. **RFA 3.** This is an example where MSRF claims insufficient evidence without qualifying its response or explaining what steps it took to obtain the information. The information requested – whether Covid caused the death of more than 1 million Americans – is easily obtained from any number of reliable sources – including the CDC and Johns Hopkins.
2. **RFA 7.** Another case where MSRF claimed insufficient information without explaining the steps it took to gather information. Information about trade deficits for containerized cargo is available from numerous sources.
3. **RFA 9.** Another failure to identify measures taken to identify relevant information.

4. **RFA 26.** Failure to identify measures taken to determine if Respondent has contracts with NVOCCs. Failure to fairly respond to the substance of the matter.
5. **RFA 29.** Failure to identify measures taken to determine if NVOCCs determine their own pricing. Failure to fairly respond to the substance of the matter.
6. **RFA 30.** Failure to fairly respond to the substance of the matter.
7. **RFA 35.** Invalid claim about conclusions of law.
8. **RFA 36.** Invalid claim about conclusions of law.
9. **RFA 37.** Failure to fairly respond to the substance of the matter.
10. **RFA 40.** Failure to fairly respond to the substance of the matter.
11. **RFA 41.** Failure to fairly respond to the substance of the matter.

II. Interrogatories

As with the RFAs above, MSRF has consistently refused to respond to interrogatories it claims involve conclusions of law. And as with the RFAs, this objection is invalid. See 46 C.F.R. 145(a)(2) (an “interrogatory is not objectionable merely because it asks for an opinion or contention that relates to fact or the application of law to fact”); for discussion of “contention interrogatories” see also, Docket No. 21-17, *supra*, 2022 FMC LEXIS 178, *3-4 (citing *Thorn EMI N. Am. v. Intel Corp.*, 936 F. Supp. 1186, 1191 (D. Del. Aug. 29, 1996)). Nor do such interrogatories impinge in any way on the attorney-client privilege.

1. **Interrogatory 3.** Reference to documents produced is invalid as no documents have yet been produced.
2. **Interrogatory 4.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
3. **Interrogatory 5.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
4. **Interrogatory 6.** References to the Complaint, without more, are patently insufficient.
5. **Interrogatory 8.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.

6. **Interrogatory 9.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
7. **Interrogatory 10.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
8. **Interrogatory 11.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
9. **Interrogatory 12.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
10. **Interrogatory 13.** Reference to complaint is patently insufficient.
11. **Interrogatory 15 (misstated in response as 16).** Incomplete and vague answer. Need promised supplement promptly.
12. **Interrogatory 16.** Relevance objection is invalid, as identification of other MSRF contracts is relevant to the options available to MSRF, as well as damages and mitigation thereof.
13. **Interrogatory 17.** Relevance objection is invalid, as identification of other MSRF contracts is relevant to the options available to MSRF, as well as damages and mitigation thereof.
14. **Interrogatory 18.** Response does not fairly respond to the question. Promised supplement required promptly.
15. **Interrogatory 19.** Response does not fairly respond to the question. Relevance objection is invalid, as the requested information is relevant to the options available to MSRF, as well as damages and mitigation thereof.
16. **Interrogatory 20.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
17. **Interrogatory 21.** Reference to complaint is patently insufficient. Promised supplement required promptly.
18. **Interrogatory 22.** Promised supplement needed promptly.
19. **Interrogatory 23.** Promised supplement needed promptly.

- 20. Interrogatory 24.** Promised supplement needed promptly.
- 21. Interrogatory 25.** Reference to complaint is patently insufficient.
- 22. Interrogatory 26.** Response does not fairly respond to the question.
- 23. Interrogatory 27.** Invalid objection because FMC Rules specifically contemplate discrete subparts. Reference to complaint is patently insufficient.
- 24. Interrogatory 28.** Invalid objection because FMC Rules specifically contemplate discrete subparts. Reference to complaint is patently insufficient.
- 25. Interrogatory 29.** Invalid objection because FMC Rules specifically contemplate discrete subparts. Reference to complaint is patently insufficient.
- 26. Interrogatory 30.** Interrogatory is plainly relevant to, inter alia, the claim in the Complaint that Respondent did not give MSRF the space that it needed, as well as the reasonableness, *vel non*, of Respondent's actions. Reference to a contract is patently insufficient.
- 27. Interrogatory 32.** MSRF's Response directly contradicts its own admission. See RFA 23.
- 28. Interrogatory 33.** This response is incomplete because MSRF has not identified communications between MSRF and Respondent for any of the listed shipments, as required by the interrogatory.
- 29. Interrogatory 34.** MSRF's response is not responsive to the question asked. [Rebecca, need to supplement on this as well.]
- 30. Interrogatory 35.** The objection about relevance is unethical and evidences lack of good faith, as the goes directly and obviously to the question of subject matter jurisdiction and the elements required to prove Complainant's claim. Further, it directly addresses a specific allegation in the Complaint, which Complainant obviously deemed relevant.
- 31. Interrogatory 36.** Reference to complaint is patently insufficient.
- 32. Interrogatory 37.** The response is non-responsive. Merely parroting a conclusory allegation in the Complaint does not constitute explanation.
- 33. Interrogatory 38.** Reference to complaint is patently insufficient.
- 34. Interrogatory 39.** Promised supplement needed promptly.

35. Interrogatory 40. Promised supplement needed promptly.

36. Interrogatory 42. The interrogatory relates to multiple service contracts, while the response addresses only one.

37. Interrogatory 44. Promised supplement needed promptly.

38. Interrogatory 45. [Rebecca, can you elaborate the question]

III. Requests for Production of Documents

- 1. RFD 3.** The objection as to vagueness is unfounded, as the term is fairly understood in the industry and is used in the FMC's regulations (46 CFR 515.2(k)(4); 46 CFR 515.31(a); 46 CFR 550.202(b)(1)) and includes such documents that will support the factual allegations made in the Complaint itself (Allegation 23, "Respondent then proceeded to breach its limited commitments by refusing to honor its service contract, forcing MSRF to purchase services on the spot market for which it had already contracted with Respondent.")
- 2. RFD 4.** The objections are unfounded. Internal communications of MSRF are decidedly not in Respondent's possession and that is not a valid objection in any event. The objection as to relevance is frivolous given the standard of discovery.
- 3. RFD 9.** The objections are unfounded. Internal communications of MSRF are decidedly not in Respondent's possession and that is not a valid objection in any event. The objection as to relevance is frivolous given the standard of discovery
- 4. RFD 11.** The objections at least border on bad faith. The documents requested herein do not duplicate any other request and are obviously relevant to, inter alia, MSRF's claim for damages.
- 5. RFD 12.** The objection as to relevance is unfounded, as the request is relevant, inter alia, to MSRF's claim for damages.
- 6. RFD 13.** The objection as to relevance is unfounded, as the request is relevant, inter alia, to MSRF's claim for damages.
- 7. RFD 14.** The objection as to relevance is unfounded, as the requested information is clearly relevant to, inter alia, MSRF's claim for damages and mitigation thereof.
- 8. RFD 15.** The objection as to relevance is unfounded, as the requested information is clearly relevant to, inter alia, MSRF's claim for damages and mitigation thereof.

- 9. RFD 16.** The objection as to relevance is unfounded, as the requested information is clearly relevant to, inter alia, whether 2020-2021 was an atypical year for MSRF as well as MSRF's claim for damages and mitigation thereof.
- 10. RFD 17.** The objection as to relevance is unfounded, as the requested information is clearly relevant to, inter alia, MSRF's assertion that it needed more space and the reasonableness of Respondent's actions, as well as MSRF's claim for damages and mitigation thereof.
- 11. RFD 19.** The objection as to clarity is ill-founded, as the term "door moves" is well understood in the industry and the words "cease" and "tendering" are plain English.
- 12. RFD 20.** The objection as to clarity is ill-founded, as the terms "door moves" and "customer-nominated trucker" are well understood in the industry and indeed were used by Complainant in negotiations with Respondent.